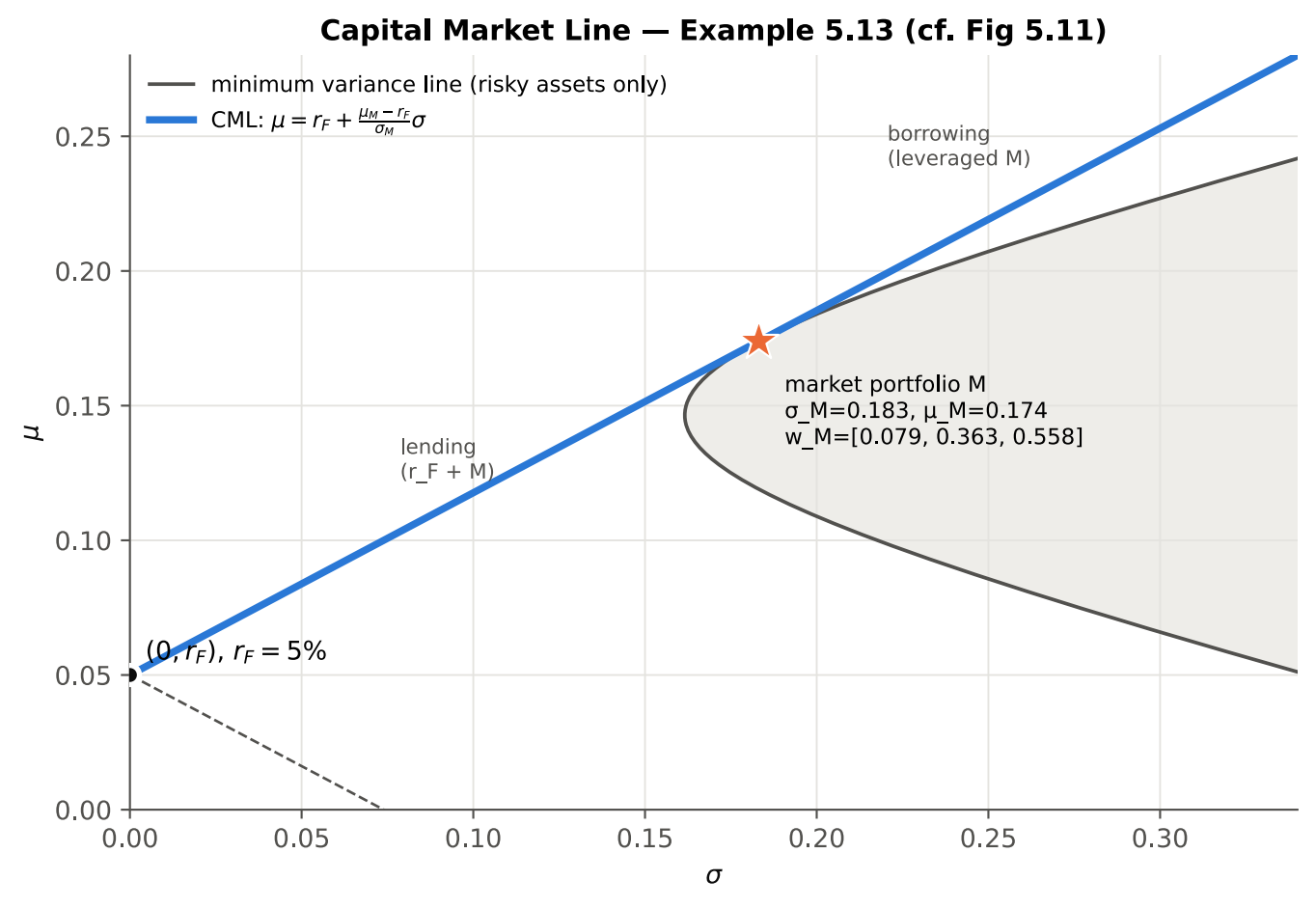

Capital Market Line — Example 5.13 (cf. Fig 5.11)
minimum variance line (risky assets only)
CML: $\mu = r_F + \frac{\mu_M - r_F}{\sigma_M}\sigma$
borrowing
(leveraged M)
market portfolio M
σ_M=0.183, μ_M=0.174
w_M=[0.079, 0.363, 0.558]
lending
(r_F + M)
$(0, r_F)$, $r_F = 5\%$
0.25
0.20
0.15
0.10
0.05
0.00
μ
0.00
0.05
0.10
0.15
0.20
0.25
0.30
σ